authority. Sanjay used to having his way, asked the Finance Minister to sack Talwar. This was when Subramaniam offered Talwar the Banking Commission. When Talwar refused, the Minister admitted that the problem was Talwar's lack of flexibility on the cement company issue, and said that if he did not resign, he would have to be dismissed.

Talwar said he had no intention of resigning, and that the government could dismiss him if it wanted to. According to Vaghul, Sanjay asked the Central Bureau of Investigation (CBI) to look for grounds on which Talwar could be dismissed. Talwar's trips to Pondicherry on bank work were well-known but these could hardly constitute sufficient grounds for dismissal. Talwar had also sent appeals to many businessmen, seeking donations for the Auroville project to which he was greatly devoted. But no businessman was willing to testify that Talwar had spoken to him or tried to persuade him to make a donation. All that Talwar had done was to forward the appeal signed by the Prime Minister and the Secretary General of the United Nations, recommending the Auroville project for support. The CBI could find nothing and had to close the case.

An infuriated Sanjay told Subramaniam to amend the SBI Act so that Talwar could be dismissed without assigning a reason. The government held that in the absence of any authority of the government for the appointment and termination of the services of the highest executives of banks and financial institutions, it was sometimes difficult to get rid of an 'undesirable element'. By introducing the clause of termination, the government now no longer needed to wait till the expiry of the term of a top executive who though not corrupt or dishonest was unable to deliver the goods. Such a proposal would also enable the government to rid itself of a person who was considered undesirable and who was against the principles and policies of the government. With opposition leaders in jail, Parliament rubber-stamped the amendment in record time. The Amendment of SBI Act (Act 73 of 1976) became effective from June 11, 1976. Under the new Act, the government had the right to terminate the term of office of the Chairman, Vice Chairman or a Managing Director at any time before the expiry of the term fixed by giving him notice of not less than three months in writing or three months' salary and allowances in lieu of such notice. Likewise, the officials could also relinquish office prematurely if they so